Crocs, Inc. (NasdaqGS: CROX) - BUY - 12-month target price $137 (+14%)

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Key data

- Share price: $120.18 (close 19 Oct 2026)
- 12-month target price: $137 (+14.0%)
- Market cap / Enterprise value: $5.9B / $7.4B
- Net debt: $1.52B
- Forward P/E: 8.2x (peer median 11.8x)
- EV/EBITDA: 8.0x (peer median 9.1x)
- Next catalyst: Q3 2026 results, 29 October 2026

Market cap, EV and multiples: Yahoo Finance, 16 Oct 2026 close basis; upside measured from the 19 Oct close.

1. Recommendation

I recommend buying Crocs with a 12-month target price of $137, 14% above the 19 October close of $120.18. The market prices Crocs as a one-product fashion brand weighed down by a failed acquisition (HEYDUDE), and at 8.2x forward earnings it trades around 30% below the median of its footwear peers. I think the market is missing three things: the core Crocs brand is re-accelerating, HEYDUDE's decline is bottoming out, and a ~$2.0 billion buyback programme at this valuation is compounding earnings per share.

2. Business overview

Crocs, based in Broomfield, Colorado, sells casual footwear under two brands. The Crocs Brand, best known for its clogs, generated $3,326M of revenue in 2025 (82% of the total). HEYDUDE, which Crocs agreed to buy for $2.5 billion in December 2021, generated $715M. In 2025 Crocs wrote down HEYDUDE's value by $737M, around 30% of the price paid. Total 2025 revenue was $4,041M. Crocs sells both directly to consumers through its own stores and websites (DTC) and through other retailers (wholesale). Crocs Brand sales outside North America ($542M in Q2 2026) are now larger than those in North America ($459M). A gross margin of around 57-60% shows strong brand pricing power.

3. Investment thesis

Reason 1: The core Crocs brand is re-accelerating. Crocs Brand revenue growth rose from +1.5% in 2025 to +4.3% in Q2 2026. Growth is led by DTC (+12.9%) and International (+7.8%), and North America has returned to growth (+0.4%, from -6.8% in 2025). In July, management raised its 2026 Crocs Brand guidance from flat to +2%, to +2% to +3%.

Reason 2: HEYDUDE is bottoming out. HEYDUDE's revenue decline more than halved, from -13.3% in 2025 to -5.7% in Q2 2026, and its 2026 guidance has been improved twice, from -9% to -7% in February to -4% to -2% in July. The $737M non-cash HEYDUDE write-down was taken in Q2 2025, so the bad news is already in the accounts. At around 18% of revenue, HEYDUDE limits the downside even if its recovery is slow.

Reason 3: Buybacks at a low valuation are compounding EPS. At around 8x forward earnings, every dollar spent on buybacks buys roughly 12 cents of annual earnings. Crocs bought back $577M of shares in 2025 and $251M in Q2 2026, and in July raised its buyback authorisation to about $2.0B, around a third of its market value. The share count has fallen about 20% since 2024, which is why adjusted EPS rose 7.6% in Q2 2026 even though adjusted operating income fell 4.5%. Management's guidance excludes future buybacks.

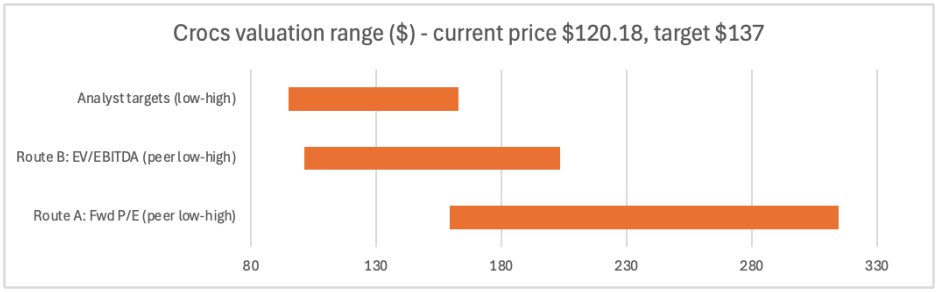
4. Valuation

I used comparable company analysis because the thesis is about how the market values Crocs relative to similar businesses, and it relies on current market prices rather than long-range forecasts. I compared Crocs with five footwear peers (Birkenstock, Deckers, VF Corp, Nike and Adidas), using Yahoo Finance data on a consistent basis and excluding Crocs from the peer statistics.

- Forward P/E: 8.22x vs peer median 11.83x (30.5% lower)
- EV/EBITDA: 8.02x vs peer median 9.10x (11.9% lower)
- EBITDA margin: 22.9% vs peer median 10.7%
- Quarterly revenue growth: 2.6% vs peer median 5.7%

Applying the peer medians gives $177 on forward P/E and $144 on EV/EBITDA. The EV/EBITDA value is lower because it deducts Crocs' $1.52B of net debt. I blended the two equally ($160.68) and applied a 15% discount for slower growth, higher debt and HEYDUDE risk, giving a target of $137.

Because comps only measures value relative to peers, I cross-checked the target in two ways. First, it implies 9.15x forward earnings, the top of Crocs' own range over the past year (6.6x-9.2x) and still below every peer, plus 8.7x EV/EBITDA, below the peer median, so no premium is assumed. Second, it is within 1.3% of the analyst average ($138.75) and inside the analyst range ($95-$163).



5. Catalysts

- Q3 2026 results, 29 October 2026: consensus EPS is $3.31 against guidance of $3.20-$3.30. I am watching HEYDUDE's performance and whether full-year guidance is raised for a third time.
- Buybacks: continued buybacks from the ~$2.0B authorisation, reported every quarter.
- Q4 2026 results and 2027 guidance (~Feb 2027): the first test of whether HEYDUDE can return to growth.

6. Key risks

- HEYDUDE fails to stabilise: I would change my view if its decline worsens beyond -5% or Crocs takes another impairment. Mitigant: HEYDUDE is only ~18% of revenue, and its decline has more than halved.
- Tariffs and margins: adjusted gross margin fell 170 basis points in Q2 2026, and new US tariffs were announced on 20 October 2026. Mitigant: DTC growth is offsetting it, guidance was raised regardless, and refunds are possible.
- The Crocs brand fades (fashion risk): I would change my view if Crocs Brand growth turned negative for two quarters in a row. Mitigant: DTC is growing 12.9%, and North America is back to growth.
- Leverage and buybacks: borrowings rose to $1.31B in June 2026, and buybacks can hide weaker profit. Mitigant: borrowings have stayed within $1.2-1.4B.
- Value trap: the market has valued Crocs at about half the peer multiple for at least five quarters. Mitigant: my target assumes only the top of Crocs' own range, not a re-rating to peer levels.

7. Conclusion

Crocs is cheap relative to its peers and to its own history, and buybacks are compounding EPS. I rate it a BUY with a 12-month target of $137 (+14%). I will review this view after Q3 results on 29 October, and would change it if Crocs Brand growth turns negative or HEYDUDE deteriorates again.

Sources: Crocs press release on HEYDUDE acquisition (23 Dec 2021); Crocs full-year 2025 results release (12 Feb 2026); Crocs Q2 2026 results release (30 Jul 2026); Yahoo Finance Statistics and Analysis (Oct 2026); Google News (Oct 2026). Prepared as a personal learning project; not investment advice.